

Kerala topped the list of states in the Health Index put out by NITI Aayog. “One thing is crystal clear. The business environment is such that no state can afford to miss the bus. They have to be vigilant, active and have to be on their toes whether it’s in terms of effort or policy intervention,” says another expert.

And there’s a lot of action happening on the ground. “States are developing start-up ecosystems, reorienting their industrial policies, easing bottlenecks for foreign investments and improving governance and living standards of the people. Robust performance is reflected in the better business environment, investments and infrastructural facilities across the states,” says Saket Dalmia, President of PHD Chamber of Commerce.

56 | One big area of focus for all states is the MSME (micro, small and medium enterprises) ecosystem, comprising nearly 63 million enterprises that contribute 30 per

cent to India’s GDP, 45 per cent to its manufacturing, 40 per cent to exports, and which provides employment to over 113 million people as per government figures. Going by their importance, states are leaving no stone unturned in attempting to make MSMEs robust, in order to drive sustained growth.

For example, the Department of MSME of the Uttar Pradesh (UP) government is implementing the MSME Policy 2022, which has been designed such that the state government will bear the one-time guarantee fee charged by banks on collateral-free loans of up to ₹2 crore given to entrepreneurs investing in MSMEs in the state. For a new micro business, 50 per cent of the annual interest payable on the loan (up to a maximum of ₹25 lakh) per unit will be given for five years. This is aimed at solving the challenge of access to funding and to create a conducive environment for the entrepreneurs. In fact, the biggest beneficiary of the UP government’s

innovation policies starts with the success story of its one district one product (ODOP) scheme.

A quick survey carried out by the MSME Export Promotion Council, along with knowledge firm BillMart Fintech, has revealed that these enterprises are not only playing a crucial role in providing large-scale employment opportunities at lower capital cost, but are also helping industrialise rural and backward areas, thereby reducing regional imbalance and assuring more equitable distribution of national income and wealth. “ODOP and MSME policy of UP has been one of its kind and the success of ODOP has a lot of things to offer for other states. That is why we are seeing more ODOP kind of schemes being implemented by other states and the Centre,” one bureaucrat tells *BT* on condition of anonymity.

Rajasthan also announced a new MSME policy during the Invest Rajasthan summit. The state has promised the creation of large-scale employment opportunities while setting a target of establishing 20,000 new MSME units. There will be a cumulative investment of ₹10,000 crore on these units, which will generate employment for 100,000 people. The policy will also facilitate as many as 9,000 MSMEs to obtain the Zero Defect Zero Effect (ZED) certification, which will increase productivity, reduce wastage, save energy and enhance environmental consciousness. “The state’s MSME policy is one of the best across states. We are offering the best incentives, hassle-free approvals and real promises,” says Shakuntala Rawat, the state’s Commerce and Industry Minister.

One thing is clear. The fresh impetus and effort to recognise the importance of MSMEs have the potential to reap results for India, but

STATELY PROGRESS

Top 10 states/UTs with the highest GSDP

States/UTs	2020-21	2021-22
Maharashtra	18.89	NA
Gujarat	12.48	NA
Tamil Nadu	12.46	13.45
Karnataka	11.44	12.52
Uttar Pradesh	10.77	11.23
West Bengal	7.93	NA
Andhra Pradesh	6.70	7.47
Rajasthan	6.60	7.33
Telangana	6.10	6.76
Delhi	5.65	6.22

GROSS STATE DOMESTIC PRODUCT (GSDP) AT CONSTANT PRICES IN ₹ LAKH CRORE; NA: NOT AVAILABLE; **SOURCE** NATIONAL STATISTICAL OFFICE, MoSPI, RBI